

The Importance of Recording

Title officially changes hands when the deed is transferred. However, until the deed is recorded, ownership is in question, legally speaking. Recordation timing determines priority: The first to record has priority. So if an unscrupulous seller sold a property twice, the first person to record the sale would have ownership priority.

The title search that title company representatives or attorneys perform uses recorded documents, and title policies will exclude liens and encumbrances that aren't in the public record. Not all documents related to a sale or conveyance will be recorded, but those that impact ownership interest should be.

Property recordation and possession protect the owner's title against all claims of interest not recorded in any public record. This type of protection relies on the theory of constructive notice: The world is bound by existing knowledge of the title conveyance when the conveyance is publicly recorded and the owner takes possession.

Constructive notice differs from actual notice because actual notice refers to being directly informed of something or having witnessed something. Let's say that Jonas attended an open house for a property he was thinking of buying. While there, he sees the neighbor cutting through the backyard on his motorcycle. He finds an actual track there, which indicates that the neighbor does this a lot. This is actual notice.

However, actual notice isn't as important as constructive notice. In other words, if no easement is recorded in any public record on this property, then no easement is presumed to exist. John's evidence from actual notice may indeed point to the fact that something is going on here; maybe the property owner and the neighbor have a verbal agreement, for instance. But the actual recorded details about the property, the constructive notice, is what's used to determine whether this easement exists.